T-12 OPERATING STATEMENT

Windmill Village | Indianapolis, IN

Property	Windmill Village
Period Ending	May 17, 2026
Basis	Accrual - Trailing 12 Months
Prepared By	Lumen Residential Services
Size	127,000 SF

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Re	478,937	508,758	498,042	531,229	533,849	516,836	532,977	498,806	517,012	476,665	474,408	492,946	6,060,466
4010 Loss to Lease	162,222	172,591	182,759	164,335	174,846	173,637	166,789	180,741	178,362	177,677	164,030	167,351	2,065,341
4020 Vacancy Loss	350,025	367,916	356,522	332,091	344,175	341,395	359,525	365,006	333,578	338,949	371,819	358,785	4,219,785
4030 Concessions	228,871	234,410	222,677	240,040	224,236	226,491	239,622	237,191	224,956	223,036	220,825	243,776	2,766,131
4040 Bad Debt	229,999	239,565	241,322	229,215	222,799	251,001	230,364	231,028	220,041	237,242	226,837	228,672	2,788,085
4050 Late Fees	43,796	44,908	46,419	48,430	46,107	42,693	42,494	43,557	43,123	47,760	44,243	47,782	541,311
4060 Utility Reimbursem	363,499	360,585	361,244	384,161	362,700	350,018	356,380	384,494	350,693	390,886	391,975	386,289	4,442,923
4070 Parking Income	343,854	368,348	369,528	331,643	373,341	332,363	342,183	351,703	332,917	325,590	369,824	349,377	4,190,672
4080 Application Fees	395,370	379,756	382,303	361,189	352,824	374,935	353,533	403,039	356,338	386,177	391,853	399,558	4,536,874
4090 Pet Rent	39,556	41,079	43,071	43,526	41,697	40,747	39,874	42,035	41,578	39,416	41,482	39,525	493,586
4100 Laundry Income	142,559	137,201	149,776	135,524	141,646	135,417	135,189	146,618	136,075	139,088	153,336	139,073	1,691,502
4110 Cable/Internet Rev	422,136	411,815	434,417	422,176	411,869	412,036	410,917	411,832	441,219	416,313	441,939	401,602	5,038,273
4120 CAM Reimbursements	139,370	142,637	139,401	157,494	144,727	141,202	153,525	158,820	155,826	151,431	152,871	145,372	1,782,676
4130 Tax Reimbursements	204,422	198,754	197,859	214,465	220,254	213,532	219,325	210,889	195,743	202,650	196,769	208,706	2,483,369
4140 Insurance Reimburs	237,973	261,821	232,205	250,241	239,131	248,869	238,435	235,361	232,602	238,765	255,855	253,328	2,924,586
4150 Percentage Rent	16,109	15,191	16,049	15,345	16,126	14,846	15,827	16,164	16,573	14,821	14,905	16,657	188,614
4160 Misc. Income	40,571	43,869	42,403	43,587	39,986	39,683	40,464	43,616	44,307	41,175	44,701	43,713	508,074
4170 Payroll - Manageme	41,014	40,027	40,543	38,846	39,811	40,784	43,594	43,726	41,787	41,350	44,139	42,350	497,972
4180 Payroll - Leasing	46,323	44,671	42,140	45,653	45,869	46,793	43,567	46,983	41,823	46,908	46,001	43,160	539,890
4190 Payroll - Maintena	21,442	23,682	22,722	21,368	21,655	21,409	22,021	21,395	23,220	23,327	23,256	21,621	267,119
4200 Payroll Taxes & Be	15,860	16,183	14,482	16,521	16,501	15,240	14,869	16,497	14,967	15,780	14,876	15,075	186,851
4210 Repairs - Plumbing	8,961	9,885	9,837	9,584	9,566	9,726	9,513	9,749	9,320	8,812	9,468	9,330	113,753
4220 Repairs - HVAC	38,479	36,879	38,868	37,171	41,018	39,572	36,990	36,241	39,093	39,188	39,592	41,147	464,238
4230 Repairs - Electric	55,846	56,134	51,875	51,596	54,980	52,359	51,875	52,820	57,454	55,670	54,597	56,565	651,772
4240 Repairs - Applianc	27,651	26,101	25,633	25,184	28,802	28,844	27,515	27,286	26,814	28,283	25,831	25,472	323,416
4250 Painting & Decorat	55,387	58,228	55,650	54,867	60,897	60,668	60,150	60,211	56,894	55,568	60,640	57,439	696,598

Report generated 05/17/2026. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4440 Accounting & Audit	11,697	12,418	11,384	11,728	12,586	12,521	12,629	11,385	12,178	12,797	11,452	12,188	144,961
4450 Licenses & Permits	45,981	42,999	44,347	42,506	43,421	45,341	40,913	42,995	43,959	46,390	42,381	43,146	524,379
4460 Management Fee	22,179	23,904	22,483	22,751	23,755	22,327	21,678	24,228	22,988	23,374	24,216	22,720	276,601
4470 Property Insurance	29,739	29,810	28,451	31,748	29,004	31,912	29,854	30,230	28,816	30,596	31,309	29,192	360,663
4480 Real Estate Taxes	34,365	36,321	33,200	33,749	36,701	34,470	34,784	35,912	35,080	35,075	34,496	35,850	420,004
4490 Asset Management F	48,211	48,202	48,855	51,217	45,537	47,061	47,316	49,793	49,364	44,984	47,858	45,085	573,482
4500 Replacement Reserv	40,586	38,562	38,872	36,558	36,036	39,441	40,802	37,741	39,554	41,158	39,751	39,999	469,060
4510 Roof Repairs	9,731	9,512	10,056	10,006	9,876	9,236	9,317	10,220	10,016	10,369	9,197	9,463	116,999
4520 Parking Lot Repair	41,078	43,353	42,109	40,985	39,085	38,826	38,214	39,141	42,755	38,549	40,465	40,250	484,811
4530 Signage	33,649	31,488	31,892	34,643	35,304	33,783	33,104	32,610	31,226	35,256	34,501	35,126	402,582
4540 Tenant Improvement	12,622	12,283	13,241	12,763	12,008	13,071	12,484	13,067	11,924	12,042	12,606	12,307	150,418
4550 Leasing Commission	37,864	36,059	36,820	37,324	39,684	38,755	37,945	35,205	36,287	36,362	40,026	36,973	449,305
4000 Gross Potential Re	495,714	489,405	490,978	524,076	504,360	514,757	522,377	492,270	469,976	487,272	481,416	527,229	5,999,830
4010 Loss to Lease	38,183	34,465	36,300	37,193	36,877	35,030	34,521	34,201	35,456	37,419	37,924	34,656	432,225
4020 Vacancy Loss	200,935	199,650	202,444	220,732	211,314	224,099	224,809	221,891	220,958	198,064	223,771	221,962	2,570,630
4030 Concessions	15,161	14,682	15,937	14,516	15,137	15,658	15,428	16,036	14,552	14,137	14,192	14,352	179,789
4040 Bad Debt	241,008	237,198	235,905	235,699	218,799	221,888	212,100	224,565	220,990	228,673	243,244	213,277	2,733,346
4050 Late Fees	85,126	84,197	75,117	80,706	78,925	75,911	81,143	76,791	81,339	82,911	85,398	76,360	963,922
4060 Utility Reimbursem	332,641	334,828	333,101	319,412	317,577	307,482	340,240	300,763	302,349	319,263	340,437	307,690	3,855,782
4070 Parking Income	403,144	392,034	389,022	417,179	428,831	424,508	425,471	412,885	418,272	414,801	412,698	387,374	4,926,219
4080 Application Fees	114,291	104,874	105,840	107,420	109,027	109,855	105,979	101,096	108,625	109,959	109,315	104,988	1,291,270
4090 Pet Rent	331,469	339,871	324,953	310,137	339,627	326,113	315,427	319,908	325,822	345,756	332,769	346,946	3,958,796
4100 Laundry Income	432,046	430,950	426,953	439,490	402,807	455,838	405,222	419,213	450,895	409,476	414,652	456,449	5,143,993
4110 Cable/Internet Rev	150,782	160,472	169,561	148,767	153,130	155,026	161,680	167,471	169,366	164,393	150,263	160,487	1,911,398
4120 CAM Reimbursements	85,809	77,797	78,583	78,752	79,290	82,694	82,005	82,258	86,721	81,109	84,483	80,276	979,777
4130 Tax Reimbursements	76,849	73,129	74,221	81,333	83,139	82,512	74,670	77,500	73,404	76,511	73,951	80,505	927,723
4140 Insurance Reimburs	172,454	186,952	196,797	178,845	178,378	182,197	191,271	193,042	176,732	172,262	186,484	192,784	2,208,197
4150 Percentage Rent	356,856	339,632	346,286	347,646	337,551	351,692	321,312	314,504	338,147	355,710	317,645	350,573	4,077,553
4160 Misc. Income	103,345	110,170	100,013	105,822	100,994	108,280	98,508	112,000	98,740	108,343	103,643	99,262	1,249,120
4170 Payroll - Manageme	41,315	41,626	42,654	42,391	40,617	44,404	45,331	42,436	42,750	40,638	42,893	44,008	511,062
4180 Payroll - Leasing	51,294	57,279	58,171	55,738	57,620	51,114	56,873	53,718	57,688	55,795	56,153	51,514	662,958
4190 Payroll - Maintena	23,314	25,097	23,275	25,248	25,787	24,357	24,451	24,077	25,598	25,872	23,018	22,825	292,920
4200 Payroll Taxes & Be	9,388	9,224	10,326	9,946	9,923	9,105	9,413	9,339	9,622	9,768	10,222	9,737	116,013
4210 Repairs - Plumbing	54,666	51,402	57,078	53,979	57,883	52,845	56,134	57,685	54,648	54,247	57,884	52,341	660,792
4220 Repairs - HVAC	20,800	18,859	19,089	21,045	19,875	19,212	19,524	19,237	19,770	19,769	20,029	19,795	237,004
4230 Repairs - Electric	29,255	30,954	30,853	30,712	30,865	32,223	29,628	31,432	30,794	30,262	32,299	32,048	371,324
4240 Repairs - Applianc	30,500	30,973	28,968	28,883	28,729	31,417	31,316	29,724	28,721	28,175	31,001	30,132	358,537
4250 Painting & Decorat	34,690	35,912	32,583	34,373	32,856	34,235	34,791	32,744	36,767	32,388	34,502	34,613	410,454
4260 Flooring	24,605	26,466	26,250	27,894	27,417	25,720	25,814	25,556	28,100	25,621	26,251	24,883	314,577
4270 Make-Ready / Turno	5,546	5,145	5,310	5,276	5,258	5,211	5,727	5,433	5,121	5,467	5,445	5,612	64,552
4280 Landscaping Contra	21,792	21,594	24,236	24,079	24,189	22,042	24,449	23,324	24,049	22,722	21,538	22,742	276,755
4290 Snow Removal	10,583	9,750	9,589	10,174	10,724	10,005	9,618	9,706	10,852	9,620	9,913	10,615	121,148
4300 Janitorial	52,257	52,863	57,762	57,537	57,531	54,742	54,850	52,774	53,857	55,131	55,852	56,099	661,255
4310 Pest Control	39,763	40,621	37,065	37,311	40,447	40,555	41,723	40,363	39,479	41,683	42,163	37,658	478,830

Report generated 05/17/2026. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Financial Analysis

The going-in capitalization rate of 6.98% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 7.5% of collected revenue and are included in operating expenses. Operating expenses totaled $240,000 or approximately 29.11 per square foot, with real estate taxes representing the largest line item. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period. Effective gross income for the trailing period was $337,000, representing a 6.9% increase over the prior year.

Percentage rent and CAM reimbursements are tracked separately for the commercial component. Operating expenses totaled $236,000 or approximately 42.15 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 4.0% of collected revenue and are included in operating expenses. Debt service coverage ratio was 7.21x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 7.3% over the hold period. The property is walkable to transit, with 16 structured parking spaces shared between uses.

Management Commentary

Percentage rent and CAM reimbursements are tracked separately for the commercial component. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 24 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The property is walkable to transit, with 27 structured parking spaces shared between uses. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Collections for the period were 91.9% of billed charges, with bad debt of 3.6% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 14th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Financial Analysis

The project combines ground-floor retail and restaurant space with upper-level residential and office components. Operating expenses totaled $356,000 or approximately 39.75 per square foot, with real estate taxes representing the largest line item. The property is walkable to transit, with 28 structured parking spaces shared between uses. Net operating income is projected to grow at a compound annual rate of 4.7% over the hold period. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

Operating expenses totaled $195,000 or approximately 29.72 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The going-in capitalization rate of 6.46% reflects the in-place income and the stabilized occupancy assumption. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Property Operations

The property is walkable to transit, with 13 structured parking spaces shared between uses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The manager completes a monthly walk of the property and submits a variance report to the owner by the 5th business day. Collections for the period were 95.5% of billed charges, with bad debt of 5.5% of gross potential income. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4380 Water & Sewer	52,223	51,583	46,972	49,987	50,311	46,354	49,651	48,665	47,855	49,533	47,280	52,518	592,933
4390 Telephone/Internet	47,634	42,538	43,580	47,872	42,143	47,788	44,708	45,916	47,690	45,421	47,116	47,157	549,564
4400 Advertising	45,592	46,702	49,711	47,369	46,358	45,187	48,557	46,538	44,083	49,574	44,233	46,959	560,862
4410 Resident Events	32,810	34,270	34,493	32,292	33,275	31,427	31,883	31,958	34,064	33,715	30,549	31,537	392,273
4420 Office Supplies	47,553	47,625	47,611	47,695	46,341	44,652	45,151	44,571	45,316	49,467	44,854	45,577	556,413
4430 Legal & Profession	19,957	20,431	20,711	20,753	21,084	19,643	19,184	19,143	21,443	19,300	18,948	20,250	240,848
4440 Accounting & Audit	55,593	49,551	53,268	53,239	48,857	53,404	50,027	50,103	51,472	53,927	55,019	49,674	624,132
4450 Licenses & Permits	40,297	37,854	39,968	37,626	38,303	36,114	38,660	36,057	40,539	36,335	40,196	40,191	462,141
4460 Management Fee	39,176	40,609	44,043	42,297	44,672	41,690	41,408	44,410	42,535	44,857	44,338	43,448	513,483
4470 Property Insurance	27,586	29,532	29,537	29,115	25,875	27,055	28,037	29,485	27,515	26,452	28,254	26,299	334,741
4480 Real Estate Taxes	58,505	57,666	56,305	62,936	61,404	63,057	62,171	62,049	55,882	58,303	55,576	61,166	715,020
4490 Asset Management F	31,178	33,907	30,341	32,057	33,809	31,729	30,034	32,049	31,583	33,177	33,256	30,483	383,604
4500 Replacement Reserv	45,778	44,736	46,535	48,245	44,140	49,058	43,993	46,690	47,640	47,021	45,325	46,939	556,101
4510 Roof Repairs	24,104	27,560	25,399	24,640	25,660	24,925	27,252	27,187	25,558	25,543	25,103	25,912	308,845
4520 Parking Lot Repair	58,936	58,200	59,344	56,074	58,802	56,739	59,201	57,682	55,338	53,290	57,081	58,280	688,968
4530 Signage	39,422	42,014	38,601	39,042	38,591	41,551	41,996	43,858	39,444	41,975	43,447	42,102	492,044
4540 Tenant Improvement	42,957	43,574	47,830	42,590	47,545	43,612	47,653	42,931	46,683	45,456	43,146	45,453	539,430
4550 Leasing Commission	5,398	5,567	5,162	5,706	5,652	5,580	5,753	5,387	5,509	5,467	5,247	5,194	65,622
4000 Gross Potential Re	533,616	477,607	482,355	495,322	474,252	532,364	534,769	534,312	503,764	487,887	527,652	514,746	6,098,647
4010 Loss to Lease	211,340	229,520	214,577	221,125	236,091	211,322	227,418	219,960	222,423	221,360	212,415	223,363	2,650,913
4020 Vacancy Loss	244,124	224,359	236,114	234,516	245,078	224,706	243,138	229,622	226,286	230,068	224,743	221,160	2,783,915
4030 Concessions	48,219	49,803	52,209	48,640	52,815	50,504	52,690	51,580	53,713	51,854	50,860	48,873	611,760
4040 Bad Debt	366,176	362,281	367,818	382,762	343,699	385,856	393,655	351,774	377,792	376,157	373,633	352,526	4,434,130
4050 Late Fees	9,563	8,453	8,563	9,198	8,395	9,477	8,471	8,987	9,468	9,061	9,553	8,404	107,594
4060 Utility Reimbursem	333,231	368,359	355,713	362,802	333,838	356,092	334,212	336,888	364,014	361,345	348,273	368,618	4,223,385
4070 Parking Income	317,935	305,801	294,999	329,832	315,217	321,561	300,376	296,136	329,444	321,967	300,571	305,586	3,739,426
4080 Application Fees	350,924	356,909	354,388	342,512	345,633	374,371	380,397	384,645	385,249	380,182	364,412	347,243	4,366,865
4090 Pet Rent	360,040	394,690	401,733	363,121	397,734	398,369	375,607	397,257	372,465	373,569	384,271	403,841	4,622,697
4100 Laundry Income	85,032	84,163	81,218	81,087	81,663	81,507	87,079	81,729	88,960	89,395	90,164	89,135	1,021,133
4110 Cable/Internet Rev	320,543	346,549	350,758	352,474	335,458	334,710	316,291	325,891	352,794	322,363	338,352	339,314	4,035,496
4120 CAM Reimbursements	65,633	62,964	66,386	68,542	69,221	69,371	66,767	69,504	67,355	67,948	61,442	61,561	796,695
4130 Tax Reimbursements	174,800	173,438	168,082	186,678	185,153	186,665	191,481	190,152	186,828	188,538	181,761	180,417	2,193,993
4140 Insurance Reimburs	259,500	254,898	263,355	290,411	269,878	259,820	261,301	289,534	290,645	278,661	276,289	258,254	3,252,546
4150 Percentage Rent	35,471	39,316	37,923	35,996	38,983	37,352	39,001	38,051	40,458	36,350	36,985	35,866	451,751
4160 Misc. Income	377,215	385,123	371,389	374,668	417,288	416,258	379,739	397,259	378,422	424,050	403,833	382,170	4,707,416
4170 Payroll - Manageme	58,859	60,927	59,404	58,250	59,240	61,789	56,802	56,673	54,645	60,262	59,619	61,196	707,666
4180 Payroll - Leasing	19,085	18,144	16,948	18,049	17,167	16,928	18,005	18,169	18,425	16,766	17,235	17,427	212,349
4190 Payroll - Maintena	10,815	11,957	11,468	11,942	12,104	11,213	12,108	12,007	11,306	11,803	11,805	10,692	139,220
4200 Payroll Taxes & Be	35,053	34,683	34,036	33,605	36,271	36,370	36,359	35,977	31,960	35,127	35,314	35,110	419,866
4210 Repairs - Plumbing	11,954	13,156	13,004	13,455	11,898	13,344	12,415	12,157	13,096	13,221	12,271	12,113	152,084
4220 Repairs - HVAC	5,875	5,914	5,849	6,298	6,206	6,400	5,889	5,887	5,885	6,684	6,195	6,668	73,751
4230 Repairs - Electric	27,800	27,757	28,270	27,771	28,092	28,120	29,712	30,494	30,462	27,686	30,902	29,109	346,175
4240 Repairs - Applianc	12,242	12,827	12,022	11,646	12,495	12,988	12,777	12,146	13,078	12,644	11,771	11,851	148,487
4250 Painting & Decorat	34,291	33,975	32,899	33,776	33,064	33,205	34,076	31,969	30,683	33,557	32,622	30,539	394,656
4260 Flooring	26,378	26,172	27,404	27,399	26,139	25,602	28,833	25,675	28,852	27,106	26,612	26,604	322,774
4270 Make-Ready / Turno	56,249	54,873	56,863	52,633	57,023	54,021	56,620	50,171	52,544	53,400	54,327	52,925	651,650
4280 Landscaping Contra	28,510	27,897	28,131	28,007	31,226	29,662	28,018	27,784	29,592	31,301	27,481	28,601	346,211

Report generated 05/17/2026. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Income and Expense Review

Percentage rent and CAM reimbursements are tracked separately for the commercial component. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Management fees are calculated at 7.1% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 3.3% over the hold period. Effective gross income for the trailing period was $77,000, representing a 14.0% increase over the prior year.

The property is walkable to transit, with 37 structured parking spaces shared between uses. The going-in capitalization rate of 6.21% reflects the in-place income and the stabilized occupancy assumption. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Management fees are calculated at 6.6% of collected revenue and are included in operating expenses.

Management Commentary

Percentage rent and CAM reimbursements are tracked separately for the commercial component. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The property is walkable to transit, with 13 structured parking spaces shared between uses. The project combines ground-floor retail and restaurant space with upper-level residential and office components. The manager completes a monthly walk of the property and submits a variance report to the owner by the 29th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Percentage rent and CAM reimbursements are tracked separately for the commercial component. Collections for the period were 96.7% of billed charges, with bad debt of 5.6% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 8th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 20 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

Valuation Discussion

The going-in capitalization rate of 5.97% reflects the in-place income and the stabilized occupancy assumption. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Percentage rent and CAM reimbursements are tracked separately for the commercial component. Effective gross income for the trailing period was $78,000, representing a 2.8% increase over the prior year. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Debt service coverage ratio was 7.20x on a trailing basis against a covenant minimum of 1.20x. The property is walkable to transit, with 21 structured parking spaces shared between uses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management Commentary

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The property is walkable to transit, with 28 structured parking spaces shared between uses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Collections for the period were 93.5% of billed charges, with bad debt of 5.4% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Summary and Notes

Valuation Discussion

Percentage rent and CAM reimbursements are tracked separately for the commercial component. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Debt service coverage ratio was 5.21x on a trailing basis against a covenant minimum of 1.20x. The property is walkable to transit, with 8 structured parking spaces shared between uses.

The going-in capitalization rate of 6.30% reflects the in-place income and the stabilized occupancy assumption. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Net operating income is projected to grow at a compound annual rate of 3.7% over the hold period. The property is walkable to transit, with 6 structured parking spaces shared between uses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 47 additional team members. Collections for the period were 88.4% of billed charges, with bad debt of 3.4% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 13th business day. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Service requests are tracked through a work-order system with an average completion time of 11 hours.

Collections for the period were 95.5% of billed charges, with bad debt of 3.3% of gross potential income. The property is walkable to transit, with 29 structured parking spaces shared between uses. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only